



EnCap Investments L.P.

Fund XII Overview

July 26, 2024

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Net IRRs are calculated on the basis of the actual timing of capital calls and distributions to Limited Partners. Net IRRs are based on cash flows after the deduction for management fees, carried interest, and other fees or expenses, where applicable. Net ROIs are calculated as total realized proceeds and unrealized values (if applicable) after the deduction for management fees, carried interest, and other fees or expenses, divided by the total capital invested. Net returns are gross of tax. If a limited partner elected into a feeder fund vehicle, the net returns are lower.

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EnCap Organization

- Leading provider of growth capital to the energy industry for 36 years
- Proven ability to adapt and create value through cycles
- Consistent investment model, core tenets, and people



ENCAP INVESTMENTS L.P.

Upstream

- Established in 1988
- 22 Investment Professionals
- 12 Funds / \$32.0Bn Capital Commitments⁽¹⁾⁽²⁾



Midstream

- Established in 2008
- 13 Investment Professionals
- 5 Funds / \$9.9Bn Capital Commitments⁽²⁾



Energy Transition

- Established in 2019
- 12 Investment Professionals
- 2 Funds / \$2.7Bn Capital Commitments⁽²⁾



25 Shared IR, ESG, and Fund Administration Professionals Across All Three Platforms

1. Includes ongoing fundraising for EnCap Energy Capital Fund XII as of 7/12/2024.
2. Includes co-invest raised concurrent with institutional fundraise (excludes Double Eagle IV and Grayson Mill III co-invest).

EnCap Investment Professionals

LEADERSHIP

Established track record from leadership team with an average of ~20 years of experience at EnCap

Name	Yrs. Exp/EnCap
Jason DeLorenzo	29 / 25
Doug Swanson	28 / 25
Kyle Kafka	20 / 18
Brad Thielemann	22 / 19
Chuck Bauer	20 / 15

FOUNDERS

Founding partners still active in advisory role and continue to add value through experience and relationships

Name	Yrs. Exp/EnCap
Marty Phillips	46 / 36
Bob Zorich	50 / 36
Gary Petersen	52 / 36
David Miller	51 / 36

INVESTMENT STAFF

Cohesive and consistent investment staff dedicated to the upstream industry

Name	Yrs. Exp/EnCap
Mark Burroughs	23 / 17
Ryan Devlin	19 / 19
Brooks Despot	15 / 15
George Purgason	15 / 12
Bryan Stahl	15 / 12
Connor Michelsen	9 / 6
Michael Guenther	7 / 5
Andrew Perry	8 / 4
Blake Provost	9 / 2



>50 Full time employees
supporting upstream investments

TECHNICAL TEAM

Differentiated in-house technical team with deep engineering, geology, and operational experience

Name	Yrs. Exp/EnCap
Jerry Smith	22 / 9
Mitch Hovendick	43 / 27
Taylor McCay	17 / 8
Wilson Jeckovich	7 / 1

ESG

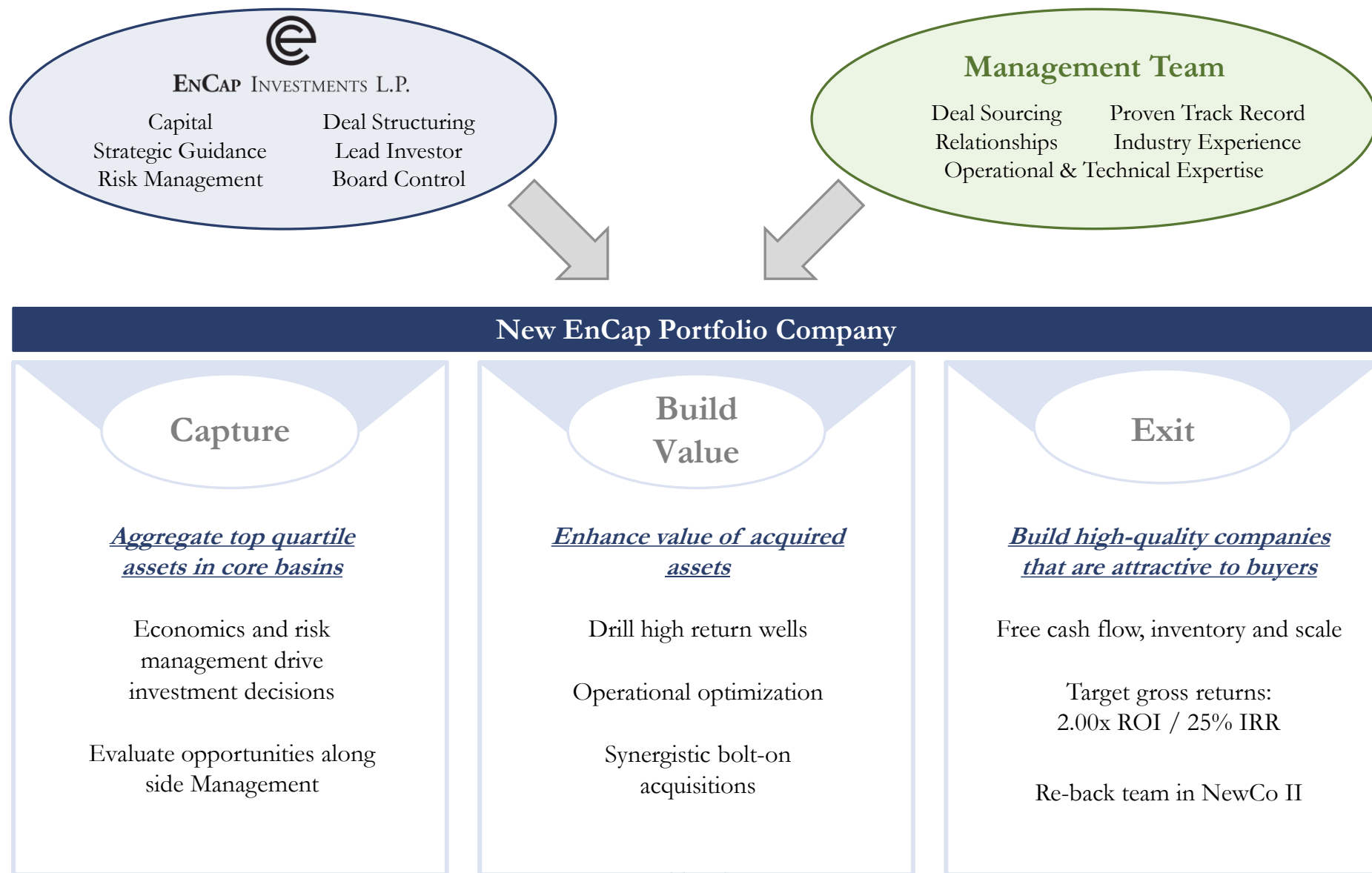
Dedicated ESG professional and consultants focused on continuous improvement

Name	Yrs. Exp/EnCap
Sophia Frieze	12 / 6

INVESTOR RELATIONS

Name	Yrs. Exp/EnCap
Matt Crystal	17 / 17
Kirby Richards	9 / 3

Proven Investment Model



Funds I – XII Overview

Twelve Upstream Fund-by-Fund Investment Results

(As of June 30, 2024; \$ in millions)

	Vintage Year	Fund Size	Total Capital Invested	Realized Proceeds	Total Realized Proceeds & Unrealized Value	Gross			Net		
						ROI	DPI	IRR	ROI	DPI	IRR
Upstream Fund XII ⁽¹⁾	2023	n/a	\$ 847	\$ -	\$ 1,434	1.7x	-	n/a	1.5x	-	n/a
Upstream Fund XI	2017	7,000	5,934	4,066	13,748	2.3x	0.7x	31.0%	1.8x	0.6x	22.2%
Upstream Fund X	2015	6,500	6,239	10,071	16,011	2.6x	1.6x	21.1%	2.0x	1.4x	16.4%
Upstream Fund IX	2013	5,000	5,327	8,022	9,730	1.8x	1.5x	15.3%	1.5x	1.4x	10.9%
Upstream Fund VIII	2010	3,500	3,762	2,917	4,230	1.1x	0.8x	2.4%	1.0x	0.7x	0.6%
Upstream Fund VII	2007	2,500	2,553	4,065	4,065	1.6x	1.6x	24.4%	1.3x	1.3x	14.5%
Upstream Fund VI	2006	1,500	1,564	3,287	3,287	2.1x	2.1x	32.5%	1.7x	1.7x	23.4%
Upstream Fund V	2004	825	922	1,970	1,970	2.1x	2.1x	38.4%	1.7x	1.7x	26.9%
Upstream Fund IV	2001	525	570	1,485	1,485	2.6x	2.6x	98.6%	2.1x	2.1x	68.4%
Upstream Fund III	1997	480	469	1,306	1,306	2.8x	2.8x	30.3%	2.4x	2.4x	23.5%
Upstream Fund II	1996	115	115	142	142	1.2x	1.2x	6.9%	1.1x	1.1x	3.6%
Upstream Fund I	1994	104	104	196	196	1.9x	1.9x	31.5%	1.9x	1.9x	24.8%

1. Fund XII Fund Size and IRR values not shown due to short duration of invested dollars outstanding.

Comparing Returns: Net IRR vs Benchmarks

- EnCap Funds have largely outperformed the S&P Energy Index and commodity prices over the life of the funds

Eleven Upstream Fund-by-Fund Returns versus Benchmarks⁽¹⁾

	Vintage Year	Fund Size	Net IRR		S&P 500 Energy Index IRR ⁽²⁾	Oil Price IRR ⁽³⁾	Gas Price IRR ⁽³⁾
Upstream Fund XI	2017	\$7,000	22.2%	>	16.5%	5.4%	(7.8%)
Upstream Fund X	2015	\$6,500	16.4%	>	8.7%	7.8%	1.4%
Upstream Fund IX	2013	\$5,000	10.9%	>	4.8%	4.8%	2.0%
Upstream Fund VIII	2010	\$3,500	0.6%		5.7%	(1.2%)	(0.7%)
Upstream Fund VII	2007	\$2,500	14.5%	>	7.4%	4.2%	0.2%
Upstream Fund VI	2006	\$1,500	23.4%	>	5.6%	4.0%	(6.7%)
Upstream Fund V	2004	\$825	26.9%	>	10.7%	15.8%	0.1%
Upstream Fund IV	2001	\$525	68.4%	>	30.1%	29.7%	26.7%
Upstream Fund III	1997	\$480	23.5%	>	9.1%	15.9%	15.1%
Upstream Fund II	1996	\$115	3.6%		8.0%	8.1%	8.8%
Upstream Fund I	1994	\$104	24.8%	>	17.6%	6.0%	15.0%

1. Fund XII not shown due to short duration of invested dollars outstanding.

2. Assumes the purchase of the S&P 500 Energy Total Return Index is at the same time and dollar amount of each capital call for the respective EnCap Fund and assumes the corresponding sale date of the Index at the time of the EnCap realization event associated with that capital. Information for the S&P 500 Energy Total Return Index assumes the reinvestment of any dividends.

3. Commodity price IRRs assume the purchase of units (spot price) of the respective commodity at the same time and dollar amount of each capital call for the respective EnCap Fund and assumes the corresponding sale date of those units at the time of the EnCap realization event associated with that capital.

Constructive Macro Environment for Oil & Gas



Strong Macro Fundamentals

- Oil & gas continues to be the backbone of the global economy
- Significant upstream investment needed to meet projected demand over the next decade
- Meaningful reduction to oil & gas investment over the last five years (Majors, ESG, etc.)



Lack of Available Capital

- Significant oil & gas investment required to meet future demand
- Public equity markets have largely been closed since 2017
- Upstream private equity fundraising down significantly since 2018



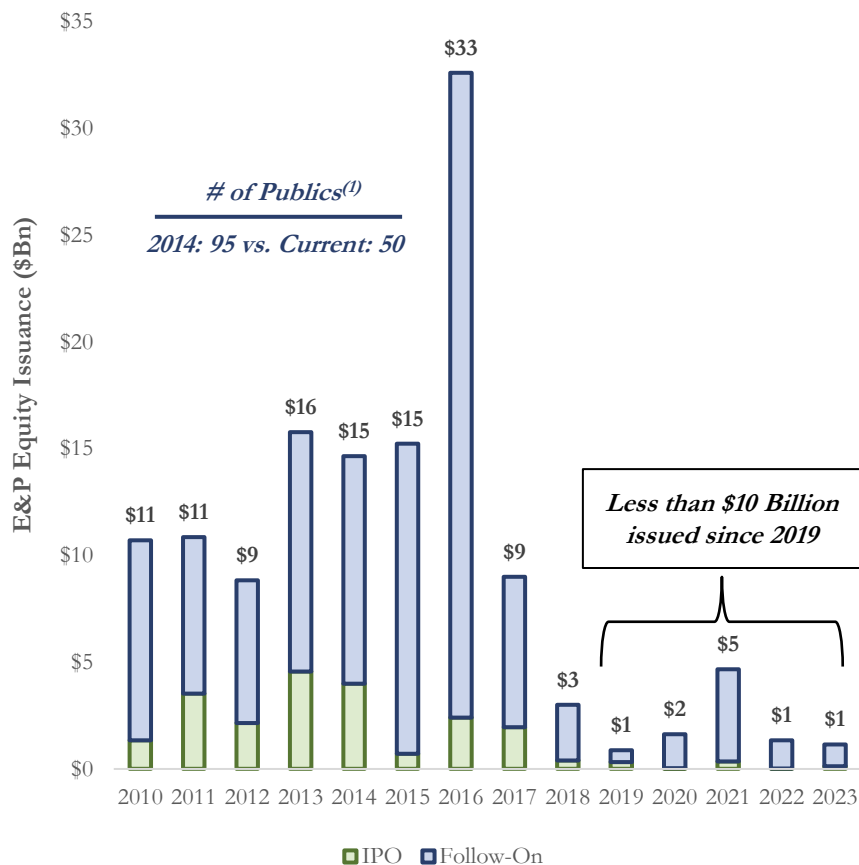
Compelling Investment Opportunity

- Capital efficiency leading to strong Free-Cash-Flow yield across the industry
- Upstream companies trading at historically low multiples
- Significant backlog of assets in the market

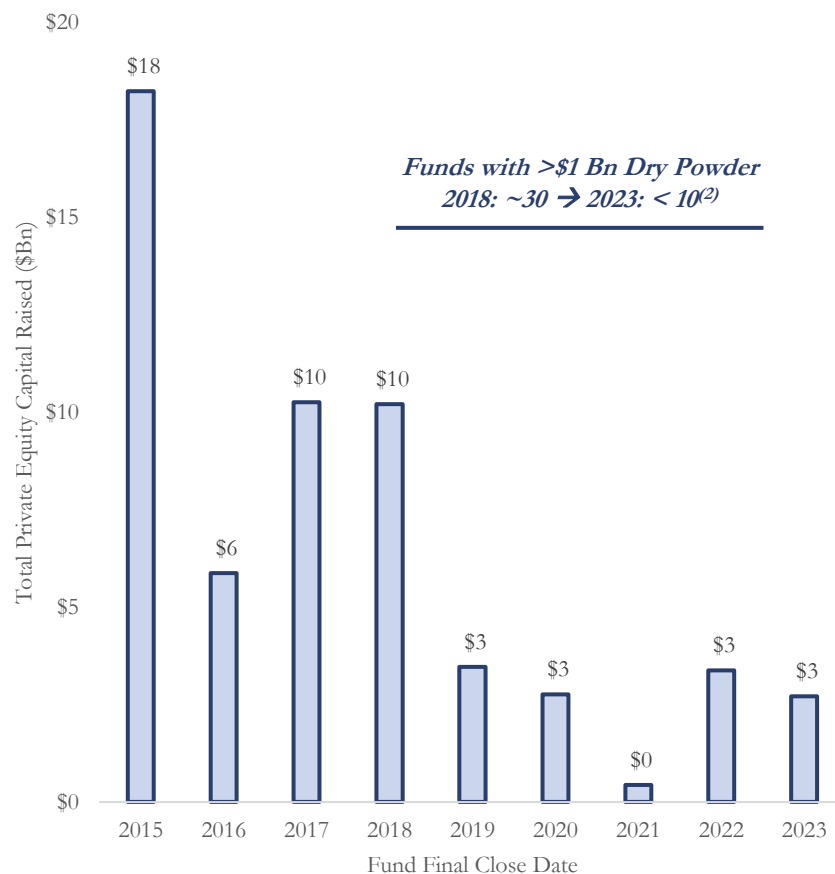
Limited Capital Available to the Industry

- Public capital for E&P remains very limited
- E&P-focused private equity fundraising activity has slowed considerably

Upstream – Public Equity Issuances



Upstream – Private Equity Capital Raised

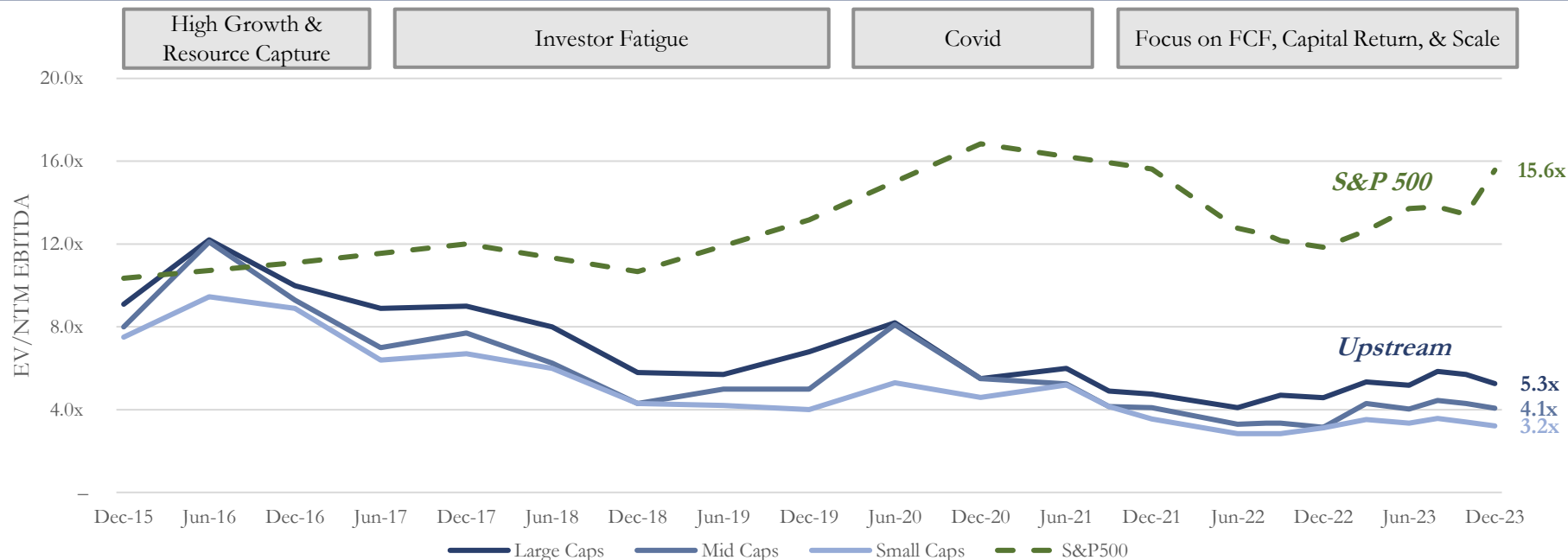


Source: Dealogic, RBC, Bloomberg, Pitchbook, and Preqin Pro. Market Data as of 12/31/2023.

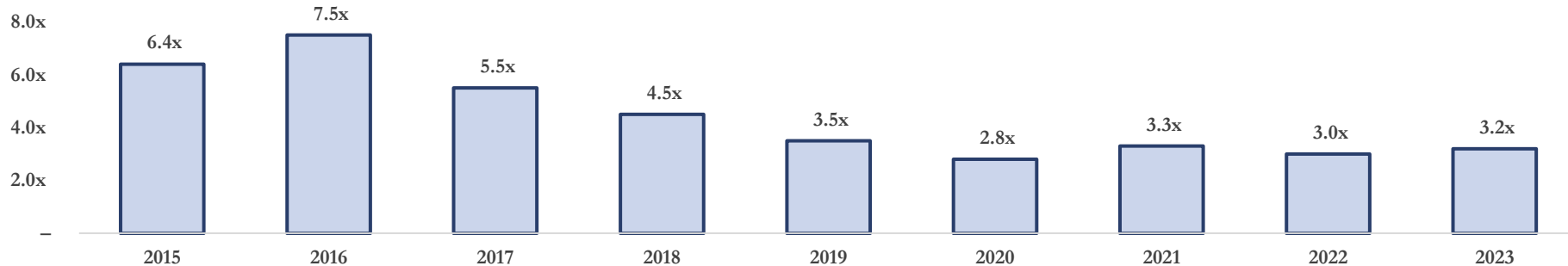
- U.S. E&P companies with a market cap ≥ \$500 million.
- RBC Richardson Barr internal database.

Energy Valuations Remain at Historically Low Levels

EV/NTM EBITDA Multiples



A&D Historic Transaction Multiples



Source: FactSet, Wall Street research, and public filings. Market data as of 12/31/2023.

Note: Large Caps defined as Market Cap > \$20 billion; Mid Caps defined as Market Cap between \$5 and \$20 billion; Small Caps defined as Market Cap < \$5 billion.

Building Large-Scale Platforms Desired by Public Buyers

Transaction Size Tranches

< \$500 million	\$500 million - \$1.5 billion	\$1.5 - \$5 Billion	\$5 - \$50 Billion
Increased Competition	Lack of Cash Buyers	Public Buyers for Select Deals	Corporate M&A

EnCap “Buy” Zone



EnCap “Exit” Zone



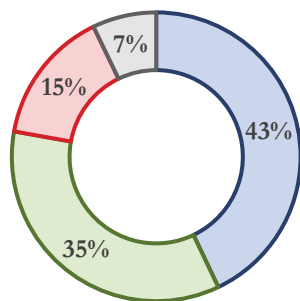
Attractive Entry Multiple (2x – 3x EBITDA)	✓	Adds Substantial PDP Base	✓
Near-term FCF Yield	✓	Accretive to FCF Yield	✓
Quality Inventory Base	✓	Extends Inventory Life	✓
Platform for Growth	✓	Represents New Basin Entry or Scalable Bolt-on	✓

Creating Value in a Compelling Investment Environment

EnCap Portfolio Activity Since January 2021

1 Invested ~\$5.4 billion of EnCap fund equity

Property Acquisitions Lease & Develop Minerals Other



Four Large Acquisitions of >\$500MM
Entry of 2.0x – 3.0x EBITDA

GRAYSON MILL II
ENERGY

ENG PALOMA
NATURAL GAS

VERDUN II
OIL COMPANY

GRAYSON MILL III
ENERGY

2 Active development of high return inventory driving capital efficiency



Invested over \$4.0 billion of total portfolio company capital in drilling



Brought over 600 gross wells online



Development Returns: ~2.0x DROI / ~50% IRR

3 Recent ability to sell in scale



Northern Midland Basin⁽¹⁾
\$4.275 Bn Cash & Stock Sale
Closed June 2023

AMEREDEV
AMERENET & CO.

\$1.905 Bn Cash Sale
Expected Close Q3 2024

XCL
RESOURCES

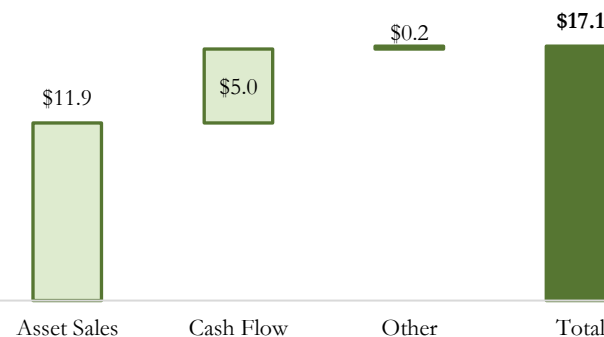
\$2.55 Bn Cash Sale
Expected Close Q3 2024

GRAYSON MILL
ENERGY

\$5 Bn Cash & Stock Sale
Expected Close Q3 2024

4 Distributed >\$17 billion through strategic sales and operating cash flow⁽²⁾

Distributions (\$Bn)



Note: Includes activity from 1/1/2021 to 6/30/2024.

1. Northern Midland Basin includes PetroLegacy, Black Swan, Piedra III, and Piedra IV.

2. >\$4.4 Billion additional cash distributions expected in Q3 2024 from announced asset sales, plus additional >\$1 Billion of liquid DVN stock.

Strong Current Opportunity Set

Property Acquisitions

Large scale asset acquisitions with substantial existing production and cash flow generation

*Ability to capture these deals at
“hard value”
2.0x to 3.0x EBITDA*

Significant running room with upside development locations received for limited to no cost

*~50% – 60% of Expected
Investments*

Lease & Develop

Ground floor leasing, bolt-on acquisitions, and other deals for undeveloped acreage and locations

*High margin environment creates
extremely attractive drilling
economics*

Arbitrage in acquiring core acreage for a low basis and converting to cash flow / distributions

*~20% – 30% of Expected
Investments*

Minerals & Royalties

Still significant investment opportunities available for mineral buying teams

*Attractive way to gain exposure to
the highest quality rock in the
Lower 48*

Buying in front of the drill bit while targeting core rock under active operators with strong balance sheets

*~15% – 20% of Expected
Investments*

Fund XII Summary

Overview

- \$4.0 billion fund target
- ~\$3.5 billion closed to date
- Announced sale of Grayson Mill III; expected close in Q3 2024

Fund XII Commitments

Company	Repeat Team	Formation Date	Commitment (\$MM) ⁽¹⁾	Invested (\$MM) ⁽¹⁾	Value (\$MM) ⁽¹⁾	Strategy	Notes
 GRAYSON MILL III ENERGY	✓	Jun-23	\$400	\$207	\$447	Bakken Property Acquisition	Same Bakken management team that oversees successful Grayson Mill II (full return of equity investment within 14 months). Announced sale expected to close in Q3 2024
 DOUBLE EAGLE		Jun-23	\$350	\$274	\$620	Permian - Midland Lease & Develop	Premier Permian management team with \$10 Billion in asset sales from previous Double Eagle entities. Currently >50,000 net acres in the Midland Basin and running a 5-rig program.
 RIDGE RUNNER RESOURCES II		Aug-23	\$146	\$59	\$59	Permian Lease & Develop	Highly regarded management team with extensive background and successful operations in the Delaware Basin.
 BlackSwan II	✓	Oct-23	\$194	\$21	\$21	Evaluating Opportunities Property Acquisition	Repeat partnership with same Black Swan team from Northern Midland Basin sale in April 2023 (~\$500 MM invested -> \$1.7 Bn Value).
 PALOMA RESOURCES VII	✓	Feb-24	\$190	\$20	\$20	Permian Evaluating Opportunities	8th partnership over >25 years with Paloma team that has a proven track record across multiple basins, strategies, and varying market conditions.
 NOVO II	✓	Feb-24	\$285	\$15	\$15	Permian Evaluating Opportunities	Best-in-class Delaware operator that led to success of Novo I (full return of equity investment from cash flow distributions prior to successful asset sale).
 PEGASUS RESOURCES III	✓	Mar-24	\$195	\$88	\$88	Oil & Gas Minerals / Royalties	New Permian mineral entity led by same management team from Pegasus II and EnCap Minerals (Oversee >145,000 NRA in the Permian).
 VERDUN OIL COMPANY III	✓	Apr-24	\$285	\$164	\$164	Eagle Ford Property Acquisition	Same Eagle Ford management team that oversees successful Protégé, Verdun I and Verdun II. Signed PSA on \$225 MM Eagle Ford acquisition.
Total			\$2,046	\$847	\$1,434		

1. Commitment, investment and value amounts as of 6/30/2024.

EnCap Fund XII Summary Terms

Summary Terms

Target Fund Size:	\$4 billion target (Closed on ~\$3.5 billion to date)
Target Returns:	Gross: 2.0x ROI / 25% IRR Net: 1.75x ROI / 20% IRR
Sponsor Commitment:	3% Commitment from the General Partner. In addition, the EnCap Partner groups is investing an additional \$53.5 million over and above the 3% GP commitment
Carried Interest:	20% after 8% preferred return, GP catch-up
Commitment Period:	5 years from final closing
Primary Term:	10 years, subject to two one-year extensions
Management Fee:	2.0% on net invested capital during commitment period; thereafter, 1.5% on net invested capital



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Appendix

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Fund XII Investment Overview

Fund XII Snapshot

(As of June 30, 2024; \$ in millions)

Company	Date of Initial Investment	Commitment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	Gross		Net	
							ROI	IRR	ROI	IRR
Realized or Substantially Realized Investments										
Grayson Mill III	Jun-23	\$ 400.0	\$ 206.9	\$ -	\$ 447.2	\$ 447.2				
		400.0	206.9	-	447.2	447.2	2.2x	n/a	1.8x	n/a
Unrealized Investments										
Double Eagle IV	Jun-23	350.0	273.7	-	619.8	619.8				
Ridge Runner	Aug-23	146.3	58.5	-	58.5	58.5				
Black Swan II	Oct-23	194.0	21.3	-	21.3	21.3				
Paloma VII	Feb-24	190.0	20.4	-	20.4	20.4				
Novo II	Feb-24	285.0	14.7	-	14.7	14.7				
Pegasus III	Mar-24	195.4	87.9	-	87.9	87.9				
Verdun III	Apr-24	285.0	164.0	-	164.0	164.0				
		1,645.7	640.5	-	986.6	986.6	1.5x	n/a	1.3x	n/a
		\$ 2,045.7	\$ 847.4	\$ -	\$ 1,433.8	\$ 1,433.8	1.7x	n/a	1.5x	n/a

Note: Fund XII IRR values not shown due to short duration of invested dollars outstanding.

Fund XI Investment Overview

Fund XI Snapshot

(As of June 30, 2024; \$ in millions)

	Date of		Total			Total Realized					
	Initial		Capital	Realized	Unrealized	Proceeds &		Gross	Net		
Company	Investment	Commitment	Invested	Proceeds	Value	Unrealized	Value	ROI	IRR	ROI	IRR
Realized or Substantially Realized Investments											
Sable Bay	Aug-17	\$ 5.9	\$ 5.9	\$ -	\$ -	\$ -					
Black Swan	Oct-17	497.7	497.7	1,498.8	298.4	1,797.2					
Piedra IV	Dec-18	249.5	249.5	244.6	229.4	474.0					
Silverado	Mar-19	15.8	15.8	0.9	-	0.9					
Forge II	May-18	265.0	265.0	371.7	64.0	435.7					
XCL	Jul-18	585.2	585.2	0.1	1,644.8	1,644.9					
Raisa III	Jun-19	13.1	13.1	8.1	-	8.1					
Paloma V (Solar & Wind)	May-20	41.9	41.9	45.5	-	45.5					
Special Opportunities	Dec-20	75.0	68.3	135.8	16.0	151.8					
Grayson Mill II	Apr-21	394.2	394.2	729.4	1,409.6	2,139.0					
Grayson Mill III	Jun-23	133.3	68.9	-	149.1	149.1					
		2,276.6	2,205.5	3,034.9	3,811.3	6,846.2	3.1x	41.2%	1.7x	19.1%	
Unrealized Investments											
Silverback II	Jul-17	486.0	199.6	-	179.8	179.8					
Enduring IV	Jul-17	475.0	298.9	16.5	345.0	361.5					
EnCap Minerals	Nov-17	599.7	599.7	514.7	1,033.7	1,548.4					
Arbor Gas	Feb-21	75.0	44.4	-	22.2	22.2					
Grenadier III	Jun-21	343.0	60.8	-	60.8	60.8					
Pegasus II	Jun-21	297.3	215.5	13.6	355.5	369.1					
Verdun II	Jul-21	380.0	356.3	330.5	714.6	1,045.1					
Sabalo II	Sep-21	296.5	75.1	-	75.1	75.1					
Paloma VI	Dec-21	539.0	504.7	-	521.3	521.3					
Double Eagle IV	Mar-22	900.0	675.5	-	1,593.7	1,593.7					
Tumbleweed IV	Mar-22	450.0	339.1	-	480.2	480.2					
Permian Resources (formerly Earthstone)	Apr-22	221.0	221.0	155.7	311.6	467.3					
M6 Midstream	Nov-22	200.0	138.2	-	177.5	177.5					
		5,262.5	3,728.8	1,031.0	5,871.0	6,902.0	1.9x	23.0%	1.9x	23.1%	
		\$ 7,539.1	\$ 5,934.3	\$ 4,065.9	\$ 9,682.3	\$ 13,748.2	2.3x	31.0%	1.8x	22.2%	

Fund X Investment Overview

Fund X Snapshot

(As of June 30, 2024; \$ in millions)

	Date of		Total			Total Realized					
	Initial		Capital	Realized	Unrealized	Proceeds &		Gross	Net		
Company	Investment	Commitment	Invested	Proceeds	Value	Unrealized	Value	ROI	IRR	ROI	IRR
Realized or Substantially Realized Investments											
Southland	Mar-15	\$ 465.5	\$ 465.5	\$ -	\$ -	\$ -					
Ameredev	May-15	168.3	168.3	514.8	-	514.8					
Talon III	May-15	13.9	13.9	57.6	-	57.6					
Grenadier II	May-15	100.8	100.8	145.6	-	145.6					
Moda	Jun-15	112.4	112.4	182.0	0.7	182.7					
Staghorn II	Oct-15	164.9	165.2	390.3	4.8	395.1					
Felix II	Nov-15	335.3	335.3	2,637.9	-	2,637.9					
Raisa	Apr-16	252.7	252.7	268.1	-	268.1					
Advancæ	May-16	435.4	435.4	1,151.1	38.9	1,190.0					
Novo	Aug-16	491.3	491.3	1,224.4	258.9	1,483.3					
PetroLegacy	Sep-16	443.3	443.3	1,163.8	-	1,163.8					
Grayson Mill	Oct-16	58.7	58.7	44.8	-	44.8					
Royal Holly	Jan-17	26.2	26.2	8.7	-	8.7					
Fortis Oklahoma	Mar-17	161.3	161.3	176.6	-	176.6					
Ameredev II	Mar-17	685.0	546.4	-	1,291.0	1,291.0					
Staghorn III	May-17	276.8	276.8	30.0	1.1	31.1					
Olifant	Jun-17	76.2	76.2	11.2	-	11.2					
Grayson Mill II	Apr-21	196.4	196.4	364.8	704.8	1,069.6					
Grayson Mill III	Jun-23	66.7	34.4	-	74.5	74.5					
		4,531.1	4,360.5	8,371.7	2,374.7	10,746.4	2.5x	22.1%	1.7x	14.9%	
Unrealized Investments											
Verdun	Jan-16	215.9	207.0	564.0	878.8	1,442.8					
Plains All American	Jan-16	280.0	280.0	172.1	340.6	512.7					
OGX IV Quinn Ranch	Jun-16	297.1	257.6	138.1	291.0	429.1					
EnCap Minerals	Jun-16	732.0	625.1	808.1	1,614.6	2,422.7					
Mongoose	Apr-17	283.7	136.5	-	13.3	13.3					
Enduring IV	Jun-17	475.0	298.6	16.5	345.0	361.5					
Verdun Austin Chalk JV	Dec-21	100.0	74.0	-	82.2	82.2					
		2,383.7	1,878.8	1,698.8	3,565.5	5,264.3	2.8x	19.2%	2.5x	17.8%	
		\$ 6,914.8	\$ 6,239.3	\$ 10,070.5	\$ 5,940.2	\$ 16,010.7	2.6x	21.1%	2.0x	16.4%	

Fund IX Investment Overview

Fund IX Snapshot

(As of June 30, 2024; \$ in millions)

Company	Date of Initial	Commitment	Total Capital	Realized	Unrealized	Total Realized Proceeds & Unrealized	Gross		Net	
	Investment		Invested	Proceeds	Value	Value	ROI	IRR	ROI	IRR
Realized or Substantially Realized Investments										
Paloma III	Jan-13	\$ 51.2	\$ 51.2	\$ 107.6	\$ -	\$ 107.6				
Payrock	Jan-13	66.8	66.8	309.0	-	309.0				
Common III	Jan-13	60.4	60.4	11.7	-	11.7				
Modem	Mar-13	128.9	128.9	30.5	-	30.5				
Felix	Apr-13	381.9	381.9	1,974.3	-	1,974.3				
QStar	Jun-13	338.5	338.5	826.7	-	826.7				
Silverback	Nov-13	292.2	292.2	915.9	-	915.9				
Sabalo	Mar-14	319.6	319.6	628.3	87.8	716.1				
Paloma IV	May-14	470.6	470.6	589.2	12.3	601.5				
Piedra III	Jun-14	302.0	302.0	957.8	233.0	1,190.8				
Fuse	Jun-14	134.8	134.8	-	-	-				
Sierra	Sep-14	110.5	110.5	242.1	-	242.1				
OGX III VNOM Shares	Jan-15	258.2	258.2	519.2	-	519.2				
Southland	Feb-15	310.2	310.2	-	-	-				
Phillips Energy IV	May-15	39.6	39.6	55.5	-	55.5				
QStar II	Apr-17	12.8	12.8	0.2	-	0.2				
		3,278.2	3,278.2	7,168.0	333.1	7,501.1	2.3x	34.1%	1.9x	28.0%
Unrealized Investments										
Bold III (Permian Resources)	Apr-13	232.0	232.0	265.5	533.8	799.3				
Montage (Southwestern Energy)	Jun-13	547.2	547.2	73.6	61.0	134.6				
Protégé III	Sep-13	617.0	517.0	292.9	350.4	643.3				
Excalibur	Oct-13	545.8	545.8	17.5	99.0	116.5				
EnCap Minerals	Jan-15	221.8	207.1	204.7	330.3	535.0				
		2,163.8	2,049.1	854.2	1,374.5	2,228.7	1.1x	1.0%	0.8x	(2.2)%
		\$ 5,442.0	\$ 5,327.3	\$ 8,022.2	\$ 1,707.6	\$ 9,729.8	1.8x	15.3%	1.5x	10.9%

Fund VIII Investment Overview

Fund VIII Snapshot

(As of June 30, 2024; \$ in millions)

	Date of		Total			Total Realized					
	Initial		Capital	Realized	Unrealized	Proceeds &		Gross	Net		
Company	Investment	Commitment	Invested	Proceeds	Value	Unrealized	Value	ROI	IRR	ROI	IRR
Realized or Substantially Realized Investments											
Caiman	Nov-10	\$ 43.6	\$ 43.6	\$ 194.2	\$ -	\$ 194.2					
Common II	Nov-10	26.9	26.9	44.8	-	44.8					
Lone Star II	Nov-10	14.2	14.2	1.1	-	1.1					
Silver Oak	May-11	73.7	73.7	22.0	-	22.0					
Talon II	Jan-11	131.6	131.6	-	-	-					
Venado	Feb-11	115.9	115.9	-	-	-					
Enduring II	Jun-11	170.3	170.3	496.3	-	496.3					
Tracker III (Permian Resources)	Apr-11	189.1	189.1	20.8	36.2	57.0					
Dorado	Jul-11	133.8	133.8	122.7	-	122.7					
Forge	Jul-11	279.7	279.7	266.1	-	266.1					
FireWheel	Aug-11	224.1	224.1	217.2	-	217.2					
Plantation V	Dec-11	207.0	207.0	21.6	-	21.6					
Halcon	Feb-12	330.0	330.0	347.5	-	347.5					
Brigadier	Mar-12	246.1	246.1	4.1	-	4.1					
Broad Oak	Jul-12	183.3	183.3	182.2	-	182.2					
Phillips III	Aug-12	92.6	92.6	64.5	74.3	138.8					
Grenadier II	Aug-12	33.3	33.3	48.5	-	48.5					
Common III	Sep-12	60.4	60.4	11.7	-	11.7					
Marlin	Sep-12	145.9	145.9	24.4	-	24.4					
Paloma III	Oct-12	51.2	51.2	107.6	-	107.6					
Payrock	Nov-12	66.8	66.8	309.0	-	309.0					
		2,819.5	2,819.5	2,506.3	110.5	2,616.8	0.9x	(2.3)%	0.8x	(5.1)%	
Unrealized Investments											
Montage (Southwestern Energy)	Feb-11	358.2	358.2	96.8	50.0	146.8					
PennEnergy	Sep-11	584.0	584.0	314.0	1,152.5	1,466.5					
		942.2	942.2	410.8	1,202.5	1,613.3	1.7x	6.8%	1.6x	5.7%	
		\$ 3,761.7	\$ 3,761.7	\$ 2,917.1	\$ 1,313.0	\$ 4,230.1	1.1x	2.4%	1.0x	0.6%	

Proven Ability to Capture Large Acquisitions

GRAYSON MILL II ENERGY

\$900MM Bakken Acquisition from Equinor

April 2021

- Purchased at 3.0x EBITDA multiple
- Negotiated deal with European Major exiting US shale (Equinor)
- All cash, moved quickly, no contingencies; critical for deal capture
- Clear path towards asset optimization via production enhancements and low-risk development plan
- 15 months after closing have distributed a 1.1x on equity invested
- \$591 MM Invested
\$3,209 MM Value⁽¹⁾

PNG PALOMA NATURAL GAS

\$540MM Haynesville Take Private of Goodrich

December 2021

- Purchased at 2.8x EBITDA multiple
- Tender offer to take private Goodrich Petroleum Corporation (“GDP”); small cap with limited float
- GDP unable to efficiently develop economic, low-risk inventory due to capital constraints
- Well results outpacing pre-drill estimates
- \$505 MM Invested
\$521 MM Value⁽¹⁾

V VERDUN II OIL COMPANY

\$800MM Eagle Ford Acquisition from EP Energy

March 2022

- Purchased at 2.6x EBITDA multiple
- Seller emerging from bankruptcy
- EnCap’s ability to deliver all-cash differentiated bid from competition
- Substantially underwritten by hard value with significant inventory
- Projecting >\$200 million in 2023 distributions
- \$356 MM Invested
\$1,045 MM Value⁽¹⁾

GRAYSON MILL III ENERGY

\$825MM Bakken Acquisition from Orintiv

June 2023

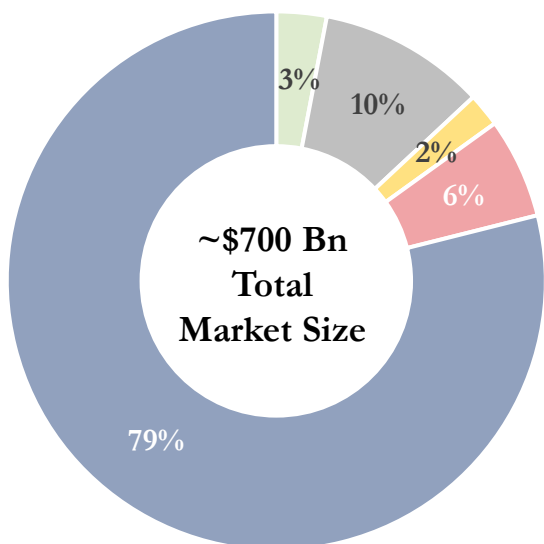
- Purchased <2.0x EBITDA multiple
- Negotiated deal with public company
- Separate Grayson Mill entity
- Purchase price fully underpinned by hard value
- Highly economic development inventory
- Blowdown scenario well above target returns
- Significant free cash flow will allow for equity distributions within 12 months of closing
- \$310 MM Invested
\$671 MM Value⁽¹⁾

1. Value listed for each deal is inclusive of realized and unrealized values. Based on 6/30/2024 quarterly valuations. EBITDA multiples based on underwritten next-twelve-months EBITDA estimate.

Minerals Continue to Represent Compelling Investment Opportunities

- Market remains large and fragmented; ~80% of U.S. minerals are not held by companies and are acquirable
- Attractive opportunities to directly acquire minerals or carve out of operated positions
- Pegasus, Tumbleweed, and Piedra deployed ~\$300 MM of equity acquiring minerals in 2022

Minerals & Royalties Market⁽¹⁾

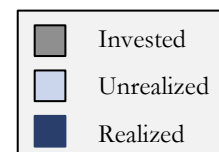


Competitive Advantages

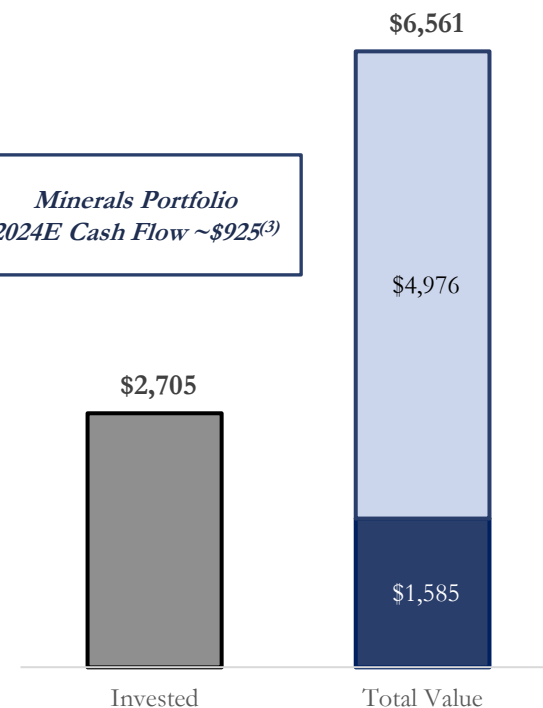


Minerals Track Record⁽²⁾

(\$ in millions)



*Minerals Portfolio
2024E Cash Flow ~\$925⁽³⁾*



1. RBC Capital Markets.
2. Based on 12/31/2023 quarterly valuations. Includes EnCap Minerals, OGX IV (Quinn Ranch), Tumbleweed, and retained minerals from Piedra III, Advance, Novo, Pegasus II, Forge II, Black Swan, and Piedra IV.
3. Projections based on \$75.00/\$3.50 flat price deck. Company forecasts subject to change.

Grayson Mill Case Study: Executing on Large Acquisitions

1 Initial Grayson Mill II Acquisition from Equinor

- \$900 MM purchase price
- Asset optimized and costs reduced
- Downtime reduced from ~35% to less than 10%

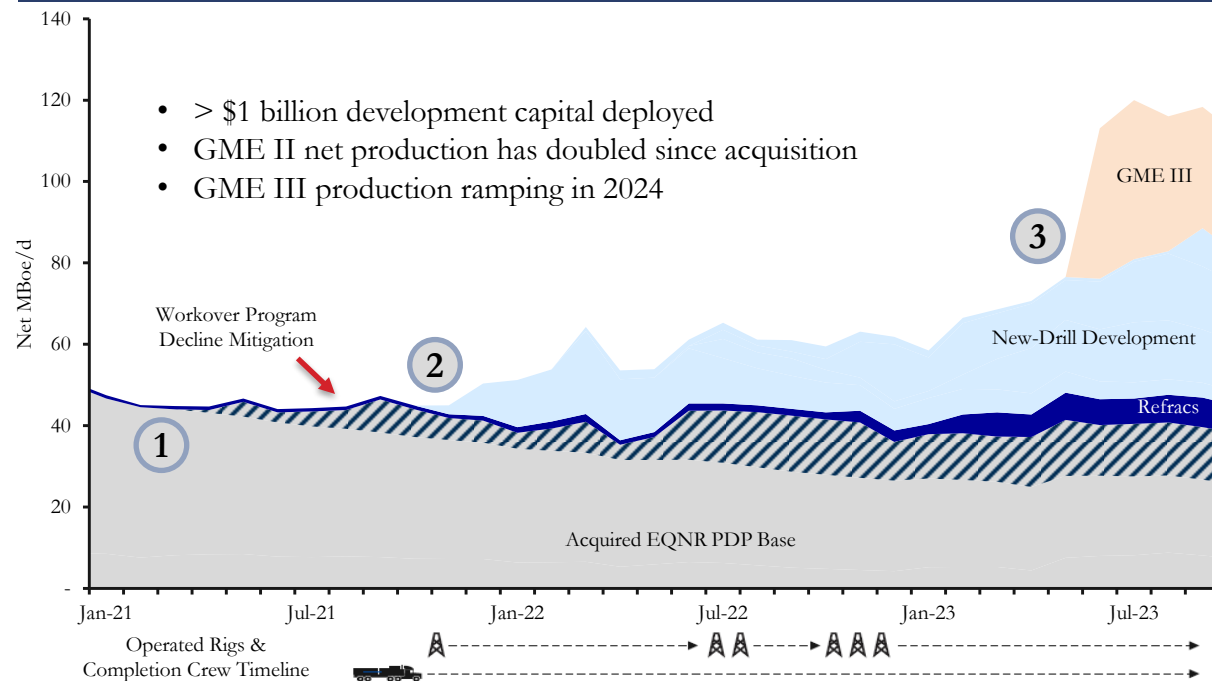
2 Implementing a Development Program

- Active rig program began in Oct. 2021
- Refrac opportunities add significant upside
- Production ramped rapidly

3 Grayson Mill III Acquisition from Ovtiv

- \$825 MM purchase price
- Core Bakken acreage with attractive inventory economics
- Initial results achieving type curve

Grayson Mill Production History and Operations Timeline



Announced \$5 Bn Sale

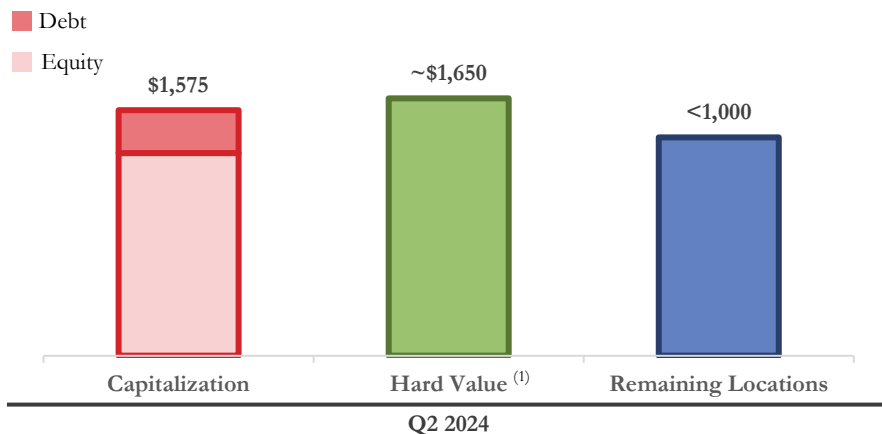
(\$ in millions)		
	GRAYSON MILL II ENERGY	GRAYSON MILL III ENERGY
Initial Investment	April 2021	June 2023
EnCap Equity Invested ⁽¹⁾	\$591	\$465
Realized Prior to Sale	\$1,094	-
Cash Returns at Closing	\$1,197	\$595
Stock and Holdback Value	\$921	\$405
Ultimate Expected Value	\$3,212	\$1,000

Double Eagle IV Overview

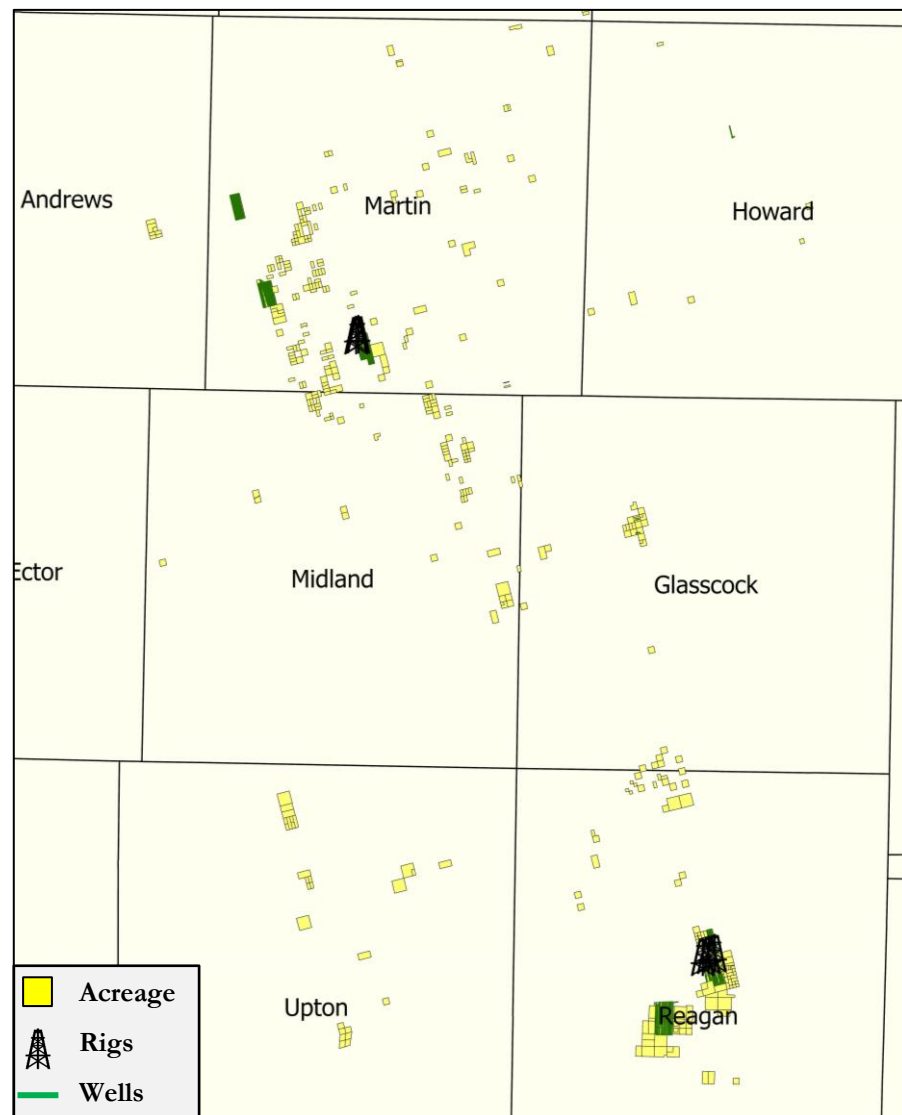
Asset Overview

- ~55,000 net acres in the core of the Midland Basin
 - Added ~35,000 net acres throughout 2023
 - Assembled through 337 acquisitions and 16 trades
- Ramped to a 5-rig development program within 12-months of formation and drilled >100 wells to date
 - Well costs below underwriting and production results are meeting expectations
- Rapidly de-risking the investment profile through rapid conversion of locations to PDP
 - 2023 Year-End Exit Production >25 MBOED
- Significant number of highly-economic drill-ready locations able to support a 5+ year development program

Substantial Value Creation and Inventory Build (\$MM)



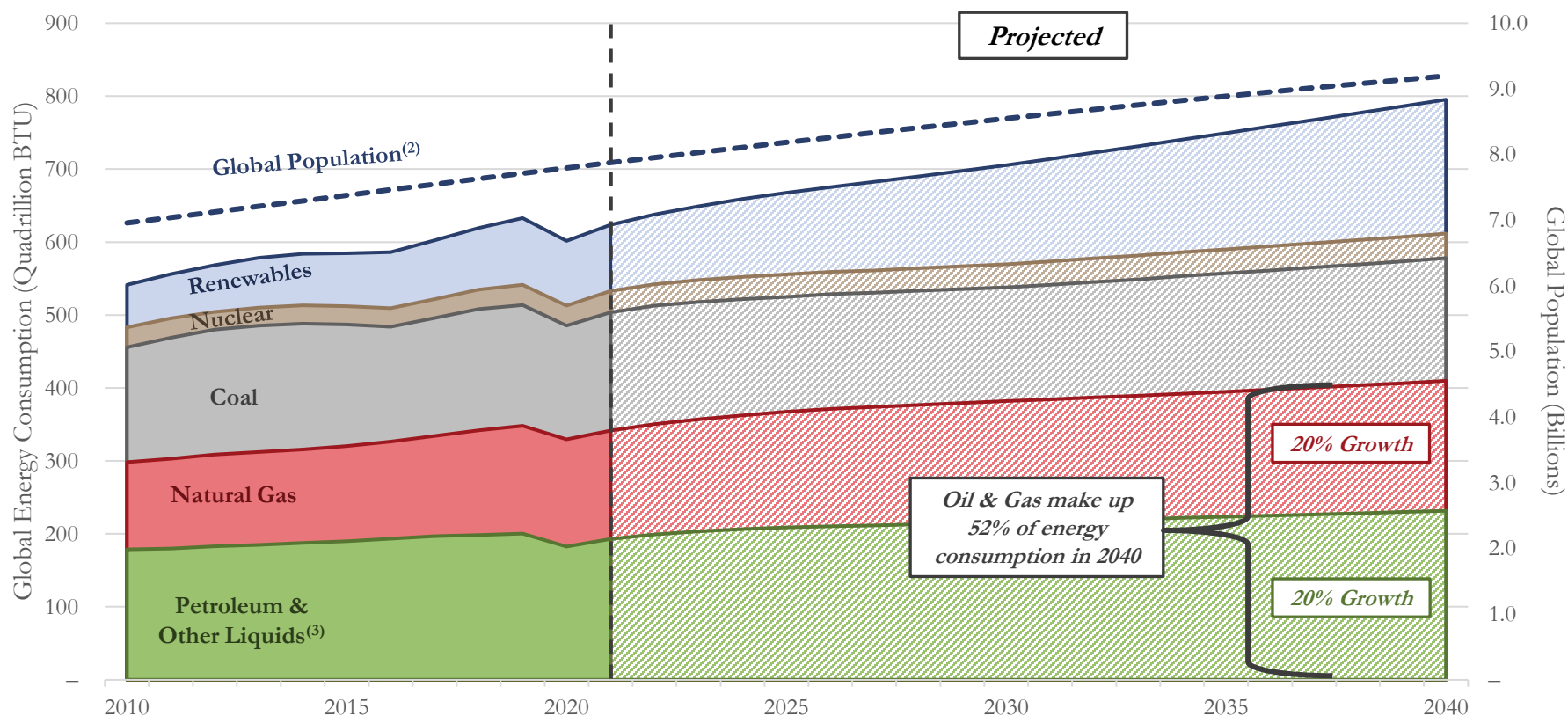
1. Hard Value represents PDP PV-10 and DUC PV-10 values at 6/30/2024 strip pricing.



Oil & Gas Continues to be the Backbone of World Economies

- Increased energy consumption per capita and population growth lead to significant increases in total energy consumption
- Renewables not able to meet all energy growth needs for the foreseeable future
- Oil & Gas will be a critical component to meet the growing energy demands of the coming decades

Population vs. Actual and Projected Sources of Energy: 2010 – 2040E⁽¹⁾

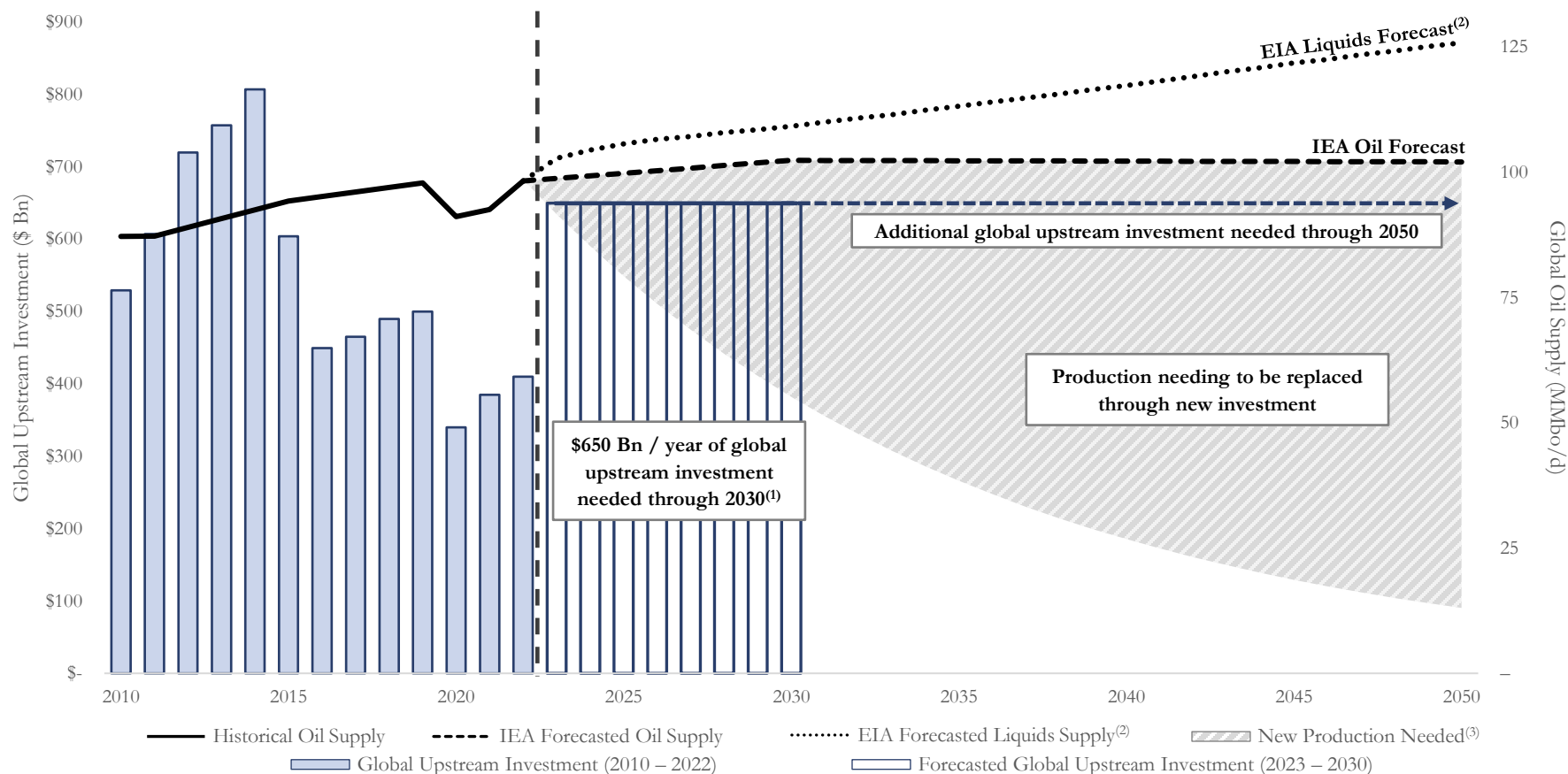


1. EIA.
2. UN World Population Projections.
3. Includes biofuels.

Significant Oil & Gas Investment Required to Meet Future Demand

- Reduced global capital investment in oil & gas creates constructive environment for future prices
- Declining production base will require significant capital to maintain and grow global supply

Historic Worldwide Investment in Upstream vs. Global Oil Supply/Demand⁽¹⁾



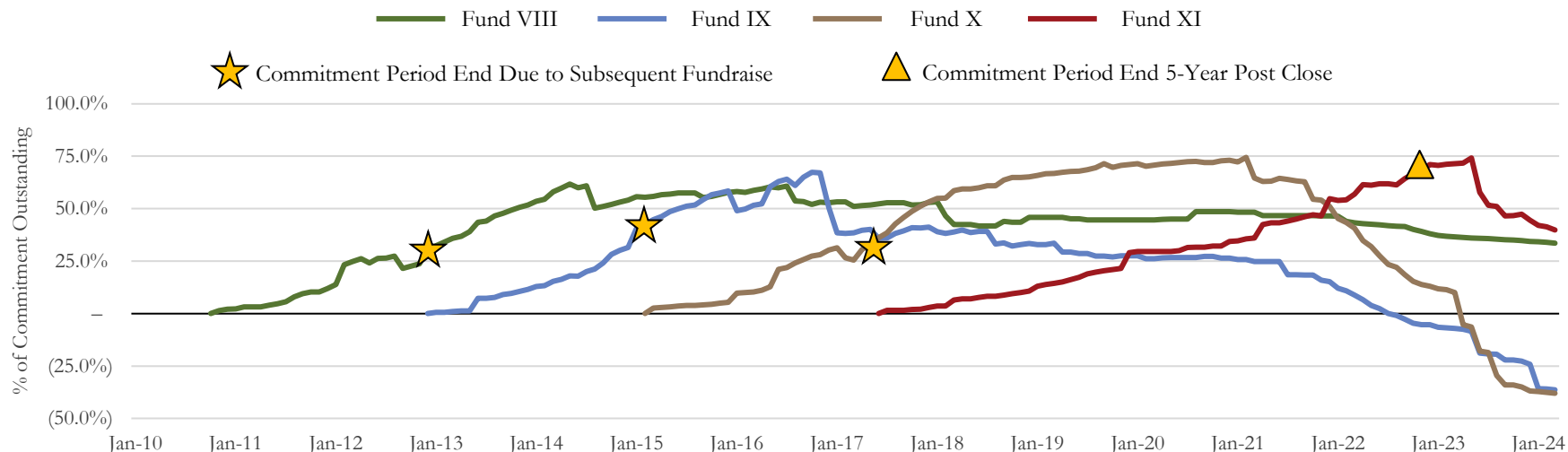
1. Based on 2022 IEA STEPS forecast for upstream oil and gas investments.

2. Includes biofuels.

3. Annual base decline of 7% per Exxon estimates.

Historic Investment Pace and Illustrative Fee Structure

Funded % of Commitment Outstanding



Illustrative Fund XII Fee Structure⁽¹⁾

	Fund VIII	Fund IX	Fund X	Fund XI
Actual Fee Structure	1.50%	1.50%	1.50%	1.50%
Illustrative Fund XII Fee Structure⁽²⁾	1.06%	1.09%	1.06%	0.77%
6/30/24 Actual Net IRR – Current Fee Structure	0.63%	10.95%	16.37%	22.27%
6/30/24 Illustrative Net IRR – Fund XII Fee Structure⁽²⁾	1.14%	11.87%	17.35%	25.67%

1. Fee calculated based on fees as a percent of committed capital during commitment period; thereafter based on net invested capital. Fee represents average annual fee paid over life of fund. Assumes that remaining invested capital is divested ratably through the remaining life of each respective fund.
2. Illustrative Fund XII Structure assumes 2.00% fee on net invested capital during commitment period; thereafter 1.50% fee on net invested capital.



ENCAP INVESTMENTS L.P.

Confidential
Sam Sam
Sep 07, 2024 10:36 AM EDT

Appendix A – Important Performance Disclosure Information

Confidential
Sam Sam
Sep 07, 2024 10:36 AM EDT

Important Performance Disclosure Information

Fund XII Target Returns

Target gross IRR was calculated using the target gross ROI of 2.0x and modeling timing of cash flows based on historical experience.

Target net ROI and target net IRR were calculated using target gross ROI and target gross IRR, reduced for management fees, carried interest, and fund expenses.

- Management fees were calculated assuming each limited partner opted to pay 2% of its net invested capital during the commitment period and 1.5% of its net invested capital after the commitment period.
- No assumption was made regarding the timing of the limited partners' subscription and therefore whether the limited partners would receive the management fee break associated with subscribing at or within 60 days of the initial closing.

Target returns do not take into account the impact of market and economic risks. Target returns are subject to risks and uncertainties that may change at any time, and, therefore, actual results may differ materially from those targeted. In no circumstances should the target returns be regarded as a reflection of any historical results or a representation, warranty, or prediction that the Fund XII will achieve or is likely to achieve any particular result or that investors will be able to avoid losses, including total losses of their investment. While EnCap believes that its assumptions are reasonable, it is very difficult to predict the impact of known factors and anticipate all factors that could affect actual results.

Realized and Unrealized Proceeds

Realized proceeds represent the sum of gross proceeds to a fund generated from dispositions and distributions of cash, dividends, and interest.

Information regarding unrealized proceeds is estimated, unaudited, and subject to change. The values of unrealized investments are estimated as of period end, inherently uncertain, and subject to change. EnCap's evaluation of an investment is based, in part, on EnCap's internal analysis and evaluation of the investment and on numerous investment-specific assumptions that may not be consistent with future market conditions and that may significantly and negatively affect actual investment results. Consequently, the ultimate realized returns on these unrealized investments may vary materially and negatively from the amounts indicated in the Presentation.

Valuation of the EnCap Upstream Funds

Unrealized investments are reported based on valuations in accordance with ASC 820 requirements. Investments held during the initial investment period are valued at cost (which is considered market value) until such time as there is a measurable change in fair market value. After the initial investment period, in accordance with industry standards for valuing oil and gas properties, EnCap values oil and gas property interests using a risk-adjusted discounted cash flow model. This methodology aggregates all future cash flows attributable to EnCap's ownership in the property or company to be generated from the production of proved oil and gas reserves, as estimated by an independent, third-party engineering firm in a Reserve Report (as defined below), and discounts them using a weighted average cost of capital (typically, 10%) to yield a present value, assuming unescalated oil and gas prices based on the period end NYMEX quoted strip prices. Prior to discounting the future cash flows, PDNP (as defined below) cash flows are generally risk-adjusted by 20%, and PUD (as defined below) cash flows are generally risk-adjusted by 40%; PDP (as defined below) cash flows are generally unrisks. Oil and gas reserves may be further adjusted to values supported by recent public or private transactions of similar oil and gas properties. Unproved acreage and other assets and liabilities are valued at recent public or private transactions of similar assets. Mineral interests are valued using combination of precedent transactions, discounted cash flows and a cash flow multiple approach, taking into consideration market and asset specific factors including life cycle or maturity of the asset, projected growth profile, precedent transactions, and comparable public market trading multiples. Publicly quoted securities are valued based on the quoted period-end closing price. Debt or equity securities that are freely tradable on a recognized investment exchange (or convertible thereto) are valued at the last reported sales price for the security as of the valuation date. Preferred equity investments are generally valued using the "if converted" method. However, if the underlying security is trading below the applicable conversion price, the valuation is held at such conversion price.

Important Performance Disclosure Information

As used above:

Proved Developed Non-Producing Reserves or “**PDNP**” means proved developed reserves that can be expected to be recovered from zones behind casing in existing wells, or from zones that are shut-in for market conditions, pipeline connections or mechanical reasons and are capable of production, but the timing is uncertain.

Proved Developed Producing Reserves or “**PDP**” means proved developed reserves that are expected to be recovered from completion intervals currently open in existing wells and able to produce to market. They are reserves that can be recovered through wells with existing equipment and operating methods. Additional oil and natural gas to be obtained through the application of fluid injection or other improved recovery techniques for supplementing the forces and mechanisms of primary recovery will be included as “proved developed reserves” only after the improved recovery project is in operation.

Proved Undeveloped Reserves or “**PUDs**” means reserves that are expected to be recovered from new wells on undrilled acreage, or from existing wells where a relatively major expenditure is required for recompletion. Reserves on undrilled acreage shall be limited to those drilling units offsetting productive units that are reasonably certain of production when drilled. Proved reserves for other undrilled units can be claimed only where it can be demonstrated with certainty that there is continuity of production from the existing productive formation. Under no circumstances should estimates for proved undeveloped reserves be attributable to any acreage for which an application of fluid injection or other improved recovery technique is contemplated, unless such techniques have proved effective by actual tests in the area and in the same reservoir.

“**Reserve Report**”: Reservoir engineers develop a Reserve Report for each existing well, whether producing or shut-in, and for each proved undeveloped well location. The reserve report takes into account: (i) current rate of production (or estimated initial rate of production of a proved undeveloped location); (ii) the rate at which production, assuming no further reserve additions, is expected to decline; (iii) future production costs unique to each well; (iv) development costs associated with the proved undeveloped reserves; and (v) any production taxes that must be paid.

Explanation of Historical Returns – Cumulative Fund Level Returns

Gross ROI and gross IRR were calculated using capital invested, realized proceeds, and unrealized value from any parallel funds and co-invest vehicles raised concurrently with such fund. Gross IRRs are calculated on the basis of the actual timing of investment inflows and outflows, aggregated monthly for all parallel funds and co-invest vehicles raised concurrently with the respective institutional fundraise, if applicable. Gross IRRs are based on cash flows before deductions for management fees, carry, and fund expenses. Gross ROIs are calculated as total realized proceeds and unrealized values (if applicable) before deductions for management fees, carry, and fund expenses, divided by the total capital invested. Total cumulative gross returns are calculated using a weighted average of capital invested.

Net ROI and net IRR were calculated using gross ROI and gross IRR, reduced for management fees, carry, and fund expenses, excluding the effects of tax withholding and structuring. Net IRR and Net ROI reflect returns of the main fund. If a limited partner elected into a parallel or feeder fund vehicle, the net returns are lower than those listed above. Total cumulative net returns are calculated using a weighted average of capital invested.

Important Performance Disclosure Information

Explanation of Historical Returns – Realized vs. Unrealized Returns by Fund

Gross ROI and gross IRR were calculated for realized and unrealized investments based on whether the cash flows were attributable to investments categorized as realized or unrealized.

Management fees, carry, and fund expenses are incurred at the fund level and are not specifically attributable to specific investments or, therefore, to the subtotals for realized and unrealized investments. As a result, net ROI was determined by allocating management fees, carry, and fund expenses to realized and unrealized categories pro rata based on invested capital. Net IRR for realized and unrealized investments was calculated using the cash flows allocated for net ROI and using timing based on EnCap's historical pace of capital calls for expenses and fees. Carry, which is assessed using a European waterfall model, was treated as a reduction of the unrealized value for unrealized investments and as paid on the period-end for realized investments.

Additional Information

Past performance is not indicative of future results. There can be no assurances that the fund will achieve its objective or avoid losses. Market conditions and legal and contractual restrictions may limit the liquidity of investments. Accordingly, actual realized return on investment may differ materially from the values indicated herein.